The decision: fuel support and livelihoods

One-page scenario | Emerging Markets Analysis | 45-minute classroom pilot | Version 2.0

Your challenge

Negotiate a policy package that funds public needs while considering fuel affordability, viable businesses and household living standards. You will change stakeholder roles and reconsider the same problem.

This is an Indonesia-inspired classroom exercise. All numbers, household and firm counts, examples and response coefficients are synthetic. No historical dataset is used. Real policy discussions motivate the topic; this simulator does not reproduce or predict them. You may question any assumption. If you know how real policy differs, you may say so as your own view. Nobody has to speak for a country or share personal experience.

The shared starting situation

Annual government revenue is Rp2,500 trillion (T). Spending is Rp3,000T, including Rp400T of fuel support and existing interest. The unadjusted deficit is Rp500T. A fiscal rule caps new borrowing at Rp400T (2% of a synthetic GDP of Rp20,000T). The model has 70 million households (20 million receive assistance, 50 million do not) and 5 million firms.

The dashboard opens with an illustrative package: extra tax revenue Rp50T; fuel-support reduction 25%; extra household assistance Rp60T; new borrowing Rp400T. This package has a Rp410T deficit and a Rp10T financing shortfall, so someone must change something.

Your four controls

1. **Additional tax revenue:** Rp0 to 200T a year. More revenue. In this model 60% falls on households and 40% on firms.
2. **Fuel-subsidy reduction:** 0 to 80% of the Rp400T support budget. Savings reduce spending; fuel prices rise under an invented response assumption.
3. **Additional household assistance:** Rp0 to 240T a year, shared across 20 million recipient households. Other households get none.
4. **New borrowing:** Rp0 to 400T a year (the fiscal ceiling). Borrowing finances a deficit; it is not revenue. Assumed future annual interest is 7%.

What to do

Read your role. Explore a package and explain a benefit, a cost and an uncertain assumption. Save one attempt. Switch roles, return the controls to the starting package (the round number advances), and reconsider. Save a second attempt. Then mark your preferred package as final and copy or download your record. At the end your table agrees one package and writes it on the table slip.

Saving on the page does not send your work to your teacher. Copy or download your record and submit it as instructed. No names or sensitive personal experiences are needed.

Context references, not sources for the synthetic numbers: World Bank (2024), Indonesia's Fuel Subsidies Reforms. IMF (June 14, 2024), Indonesia Article IV mission assessment. Links are in the dashboard. There is no single best package: justify trade-offs and question assumptions.

Ministry of Finance role brief

Participant code: _____ Date: _____ Table: _____ Round: _____

Your mandate

Fund essential spending and present a credible financing plan.

What to examine

- Explain the difference between revenue, expenditure and borrowing.
- Identify any remaining financing shortfall and note that borrowing is capped at Rp400T.
- Explain what your package means for future interest costs.

Prepare an opening position

Businesses request a slower reduction in fuel support. Household representatives request more assistance. Which concession could you fund, and what would you change to pay for it?

A concession and a boundary

What could you accept? What would require stronger evidence or a change elsewhere in the package?

Question the model

A package that closes the gap can still create hardship. A package that helps people can still require additional financing.

All students use the same evidence. Speak from this assigned position; you do not have to disclose personal experience, speak for a country, or defend a real government. Your role does not give you authority to impose policy alone.

Business coalition role brief

Participant code: _____ Date: _____ Table: _____ Round: _____

Your mandate

Keep firms viable while considering jobs, investment and public needs.

What to examine

- Inspect the example firm's fuel costs, tax burden and operating profit.
- The model shows one example firm. Consider how transport-intensive firms and less fuel-intensive firms might differ.
- Explain the cost of any support or slower adjustment you request.

Prepare an opening position

The government proposes faster fuel-support reductions. What transition arrangement would you request? Explain who funds it and whether all businesses should receive the same support.

A concession and a boundary

What could you accept? What would require stronger evidence or a change elsewhere in the package?

Question the model

The example firm cannot raise prices, change sales or adjust wages in this model. Those assumptions may be unrealistic; identify what evidence you need.

All students use the same evidence. Speak from this assigned position; you do not have to disclose personal experience, speak for a country, or defend a real government. Your role does not give you authority to impose policy alone.

Households and workers role brief

Participant code: _____ Date: _____ Table: _____ Round: _____

Your mandate

Protect living standards and livelihoods, including people who miss out on assistance.

What to examine

- Compare recipient and non-recipient families; both are constructed examples.
- Consider income, transport costs, employment and the timing of support.
- Explain who remains exposed under your proposal.

Prepare an opening position

Assistance helps recipients, but some families receive none. What change would you request? Explain its cost and any disadvantage to another stakeholder.

A concession and a boundary

What could you accept? What would require stronger evidence or a change elsewhere in the package?

Question the model

The model assumes payments arrive immediately. Real targeting and delivery can be imperfect. Do not assume one example represents every household.

All students use the same evidence. Speak from this assigned position; you do not have to disclose personal experience, speak for a country, or defend a real government. Your role does not give you authority to impose policy alone.

Decision worksheet and offline fallback

Participant code: _____ Date: _____ Table: _____

Use this sheet if the website is unavailable, or as a backup. T = trillion rupiah. Complete two attempts and a final recommendation. Borrowing cannot exceed 400T.

Attempt 1

Role: _____ Tax: _____T Subsidy cut: _____% Assistance: _____T Borrowing: _____T

Revenue = 2,500 + tax. Savings = 400 x cut% / 100. Spending = 3,000 - savings + assistance. Deficit = spending - revenue. Financing balance = borrowing - deficit; negative means a shortfall.

Deficit or surplus: _____T Financing shortfall or excess: _____T

One benefit, one cost, and one assumption:

Attempt 2 (new role; same starting conditions)

Role: _____ Tax: _____T Subsidy cut: _____% Assistance: _____T Borrowing: _____T

Revenue = 2,500 + tax. Savings = 400 x cut% / 100. Spending = 3,000 - savings + assistance. Deficit = spending - revenue. Financing balance = borrowing - deficit; negative means a shortfall.

Deficit or surplus: _____T Financing shortfall or excess: _____T

One benefit, one cost, and one assumption:

Final recommendation

Preferred package or attempt: _____ Role considered: _____

What changed in your reasoning? Who remains disadvantaged?

If offline, discuss household and business effects qualitatively using the role briefs. Do not invent precise national effects.